

directly below this date has a value of about 24.25, giving a lead-in height of 1.38. The height is important because the minimum bump height and target price, calculated later, use this value. A more accurate approach is to use the *tallest* distance from the trendline to the high, which is not necessarily found between the *highest* high and the trendline. Use whatever method makes you feel comfortable.

During the lead-in phase, subdued price action looks as if the stock is gathering strength for the bump phase. Price does not move very far away from the trendline and usually appears rounded. If you visualize the chart pattern as a mountain range, the lead-in phase represents the foothills.

Volume during the lead-in phase is high at the start. Often this is due to events that occur just before the BARR begins. Volume drops off until the start of the bump, when it suddenly rises. The higher share turnover and buying enthusiasm for the stock forces price up. In [Figure 15.1](#), this price rise occurs on 17 February and is accompanied by volume that is the highest in half a year.

Rounded bump. Price jumps up at the bump start and quickly rises from a low of 26.50 to a high of 34.38 during late March. Volume remains high throughout this period, then quickly tapers off as price rounds over at the top. Many times, the top takes on the appearance of a head-and-shoulders pattern or a double or triple top. If you recognize any of these patterns on your chart, ignore the BARR top formation and obey the implications of the individual patterns.

The bump height, as measured from the highest high to the trendline, should be at least twice the lead-in height. In this example, the bump height is 8 (that is, $34.38 - 26.38$). This is more than twice the lead-in height of 1.38.

The reason for the minimum two-to-one ratio is arbitrary. The idea is to make sure that investor enthusiasm and, hence, momentum are getting carried away. An up-sloping trendline that turns into a bump with a higher sloping trendline emphasizes the rising momentum. Sustaining such unbounded enthusiasm for too long is difficult, and the stock eventually declines.